

CHAPTER TWO

Vision, mission, goal and objective in strategic management point of view

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2.1. Introduction

Organizations strive to achieve the end results which are ‘vision’, ‘mission’, ‘purpose’, ‘objective’, ‘goals’, ‘targets’ and so on. The hierarchy of strategic intent lays the foundation for the strategic management of any organization. The strategic intent makes clear what an organization stands for. It is reflected through vision, mission, business definition and objectives. Vision serves the purpose of stating what an organization wishes to achieve in long run. The process of assigning a part of a mission to a particular department and then further sub dividing the assignment among sections and individuals creates a hierarchy of objectives. The objectives of the sub unit contribute to the objectives of the larger unit of which it is a part. From strategy formulation point of view, an organization must define ‘why’ it exists, ‘how’ it justifies that existence, and ‘when’ it justifies the reasons for that existence. The answers to these questions lie in the organization’s mission, business definition, objectives and goals.

2.2. Vision statement

The vision of the organization refers to the broad category of long-term intentions that the organization wishes to pursue. It is broad, all inclusive, and futuristic. As the word ‘vision’ suggests, it is an image of how the organization sees itself.

Vision has been defined as in several ways by different authors and scholars.

- Kotter (1990) defines it as a “description of something (an organization, corporate culture, a business, a technology, an activity) in the future”.

- El Namok (1992) considers it as “mental perception of the kind of environment an individual or an organization aspires to create within a broad time horizon and the underlying conditions for the actualization of this perception”.
- Miller and Dess (1996) view it simply as the “category of intentions that are broad, all-inclusive, and forward thinking”.
- It is also defined as what the firm or person would ultimately like to become.
- It is what keeps up the organization moving forward even against discouraging odds

In general, a vision is a picture of the future cast in the present, it can only be created when your business connects the dots between the environments in which:

- 📖 It presently operates,
- 📖 Scenarios of possible future environments, and
- 📖 Its *desired* future environment based on its values and core competencies.

The resulting vision will be;

- ☞ An image or description of the business as you aspires it to become in the future
- ☞ Is the answer to the question “If we could have the business of our dreams and the impact we most desire, what our business would look like in the year 2018?”

Some examples of vision statements are given below:

- ✂ Arba Minch University aspires to be one of the leading higher educational institutions in the country and a center of excellence in the area of water resources in eastern Africa.
- ✂ General Motors’ vision is to be the world leader in transportation products and related services.

🌈 **The benefits of having a vision**

- ↪ Good visions are inspiring and exhilarating.
- ↪ Visions represent a discontinuity, a step function and a jump ahead so that the company knows what it is to be.
- ↪ Good visions help in the creation of common identity and a shared sense of purpose.
- ↪ Good visions are competitive, original and unique. They make sense in the market place as they are practical.
- ↪ It is a life blood of an organization for it keeps an organization moving forward
- ↪ Good visions foster risk-taking and experimentation.
- ↪ Good visions foster long term thinking

- ↗ Good visions represent integrity; they are truly genuine and can be used for the benefit of people.
- ↗ Binds the organization together at times of crises
- ↗ Provides basis for partnership

2.3. Mission statement

An organization's mission is the purpose for the organization's existence. A well-conceived mission statement defines the fundamental and unique purpose that sets a company apart from other firms of its type and identifies the scope of the company's operations in terms of products offered and markets served. A mission statement promotes a sense of shared expectations in employees and communicates a public image to important stakeholder groups in the company's task environment.

Some of the definitions of a mission statement are extracted from different sources given below:

- ✂ Thompson (1997) defines mission as the “essential purpose of the organization, concerning particularly why it is in existence, the nature of the business it is in, and the customers it seeks to serve and satisfy”.
- ✂ Hunger and Wheelen (1999) say that mission is the “purpose or reason for the organization's existence”.
- ✂ Mission is a statement that defines the role an organization plays in a society. Hence, it sets out why the organization exists and what it should be doing.

Some examples of a mission statement are given below:

- ✓ To develop and exploit our network at home and overseas so that we can meet the requirements of customers. (BBC)
- ✓ Promoting democratic thinking, offering high quality education and training, conducting need based research and consultancy, and rendering community service in order to contribute to the development endeavor of the country(Arba Minch University)
- ✓ We are committed to being the best lodging and food service company in the world, by treating employees in ways that create extraordinary customer service and shareholder value(MARRIOTT'S)

The importance of a clear mission

Following are the reasons for evolving a mission statement.

- 🕒 The mission statement gives a unified direction to the company's growth.
- 🕒 The utilization of the company's resources is also unified, and people get motivated to exploit these resources in a specific direction for the company's growth.
- 🕒 Allocation of resources is based on the mission statement. Company executives get an idea for allocation of resources as directed by the mission statement.
- 🕒 The mission statement while giving a direction for growth also tends to build up a professional climate for maintenance and improvement of the company's status in any desired area. Thus it streamlines /restructures the functioning of the organization.
- 🕒 The mission statement vividly brings forth the purpose of the organization and growth direction in the prevalent cultural climate of an organization, thus bringing into focus the style of management and functioning of the organization. This approach draws support from people who wish to grow with the organization.
- 🕒 The mission statement outlines a framework for organizational planning assigning definite tasks and responsibilities to each business unit.
- 🕒 The mission statement helps set-up and develop a control mechanism for achievement of objectives.
- 🕒 Defining the mission of an organization brings forth the hidden talent amongst the work force who take up challenges to meet the company's strategic objectives.

2.4. The nature of business mission

Organizations legitimize themselves by performing some function that is valued by the society. A mission statement defines the basic reason for the existence of that organization. Such a statement reflects the corporate philosophy, identity, character and image of an organization. In order to be effective, a mission statement should possess the following seven characteristics.

- ☞ It should be feasible: A mission should always aim high but it should not be an impossible statement. It should be realistic and achievable- its followers must find it to be credible.
- ☞ It should be Precise: Using too many or too few words in a mission statement may lead to ambiguity. If too many words embody a mission statement, it may not be clearly understood by people at the functional and operating level. On the contrary, if less than

the necessary numbers of words are used in a mission statement, the employees at operating level may derive different meanings out of it. Similarly the mission statement should not have a narrow focus or a very broad view.

- ☞ It should be clear: The mission statement should be clear to employees of the company because all of them would be guided by this statement. It should be made clear to those who do not understand it through training workshops, or other forms of communication.
- ☞ It should be motivating: The mission statement should be a source of inspiration for members of an organization. Customers and societies associated with an organization should also feel good about the mission of the organization.
- ☞ It should be distinctive: The mission statement should be unique for an organization as it makes it different from the crowd, and makes an impact on minds of people associated with the organizations. Each company depending on its resources environment, purpose and various other conditions evolve its own mission statement.
- ☞ It should indicate major components of strategy: The major strategy along with the purpose of an organization gives an insight to a reader about the organization. The major strategy should also be reflected with a view to bind the organization in unidirectional effort to meet objectives.
- ☞ It should indicate how objectives are accomplished: The mission statement should indicate the manner in which the organizations objectives would be achieved. Since the mission statement is related to a specific time-period, the reflection of methods of accomplishing the objectives gives a better understanding of the mission of a company and the way defined objectives are to be pursued.

2.5. Components of a Mission statement

Mission statements can and do vary in length, content, format, and specificity. Most practitioners and academicians of strategic management feel that an effective statement should include nine components. Because a mission statement is often the most visible and public part of the strategic-management process, it is important that it includes the nine characteristics, as well as the following nine components:

1. **Customers:** Who are the firm's customers?
2. **Products or services:** What are the firm's major products or services?
3. **Markets:** Geographically, where does the firm compete?

4. **Technology:** Is the firm technologically current?
5. **Concern for survival, growth, and profitability:** Is the firm committed to growth and financial soundness?
6. **Philosophy:** What are the basic beliefs, values, aspirations, and ethical priorities of the firm?
7. **Self-concept:** What is the firm's distinctive competence or major competitive advantage?
8. **Concern for public image:** Is the firm responsive to social, community, and environmental concerns?
9. **Concern for employees:** Are employees a valuable asset of the firm?



2.6. Difference between Vision and Mission

Following table tabulates the differences between vision and mission of an organization.

VISSION	MISSION
✓ Category of intentions that are broad, all inclusive and forward thinking,	✓ Mission is the fundamental, unique purpose that sets a business apart from other firms of its type and identifies the scope of its operations in product and market terms.
✓ States aspirations for the firm without stating the means to achieve them	✓ It states how it would achieve the vision of the firm.
✓ Dream, little hazy or intangible	✓ Clear, tangibles.
✓ Guides in formulation of mission.	✓ Guides in formulation of business definition, goals and objectives.
✓ Futuristic in nature.	✓ Current in nature.

2.7 Company objective and goals

Most mission statements are more specific than visionary thinking, but they are still hardly concrete directions for action. Therefore, just as a mission statement tries to make a vision more specific, goals attempt to make a mission statement more concrete.

Goals denote what an organization hopes to accomplish in a future period of time. They represent a future state or an outcome of the effort put in now. Objectives is the ends that state specifically how the goals shall be achieved. They are concrete and specific in contrast to goals which are generalized. In this manner, objectives make the goals operational. While goal may be qualitative, objectives tend to be mainly quantitative in specification. In this way they are measurable and comparable. For example, goals and objectives of Arba Minch University are as follows:

The Difference between goals and objectives

- ✎ Goals are broad; objectives are narrow.
- ✎ Goals are general intentions; objectives are precise.
- ✎ Goals are intangible; objectives are tangible.

- ✎ Goals are abstract; objectives are concrete.
- ✎ Goals can't be validated as is; objectives can be validated.

Characteristics of Objectives

- ❖ Generally, objectives should be **SMART**, that is, specific, measurable, achievable, realistic, and time bound.
 - **Objectives should be concrete and specific:** what needs to be achieved should be unambiguous. In short, objectives must be clearly specified.
 - **Objectives should be measurable and controllable:** it is possible to determine if the desired conditions has been achieved. For instance, an objective which states “reduce delays by 20% by the end of 2010” would be easily checked as to whether it is achieved or not. Such measurable objectives give managers a yardstick against which they can judge their performance.
 - **Objectives should be achievable but challenging:** while setting objectives, it is important to take into account the company’s capacity like availability of qualified, motivated and committed workforce, reliable supply of various inputs, enough amount of finance and other resources. Setting an objective that is beyond the company’s capacity would result in desperate employees as well as managers despite their effort. Hence, objectives should be within the reach of the company, but this does not mean that it should be easily attained without exerting much effort; rather it should be the one that is achieved after overcoming a reasonable amount of challenge/difficulty.
 - **Objectives should be realistic:** objectives should be realistic instead of being ideal. For instance, a farming firm may state its objective as achieving 35% increase in productivity by making rain to fall during non-rainy season. Since making rain to fall cannot be realized by such a firm, the objective would be simply wish.
 - **Objectives should be time bound:** this is to mean the time period within which the set objective to be achieved need to be clearly stated. Otherwise, it is difficult as to when to check whether the objective is attained or not. If the stated objective is not reached within the given time horizon, like one year, three years, necessary measures should be taken.